

Functional Areas of Management and Their Roles in Controlling

Management is not a single, undifferentiated activity. Large organizations divide management responsibilities into functional areas, each specializing in a particular aspect of the business. Human resource management handles people. Marketing management handles customers and sales. Operations management handles production and delivery. Financial management handles money and assets. Information and communication technology management handles data and systems. Each functional area has its own scope, its own significance, and – crucially – its own controlling responsibilities. Without control in each functional area, the organization as a whole cannot achieve its goals.

This reading material analyzes the scope and significance of the different functional areas of management in relation to controlling. It examines human resource management, marketing management, operations management, financial management, and information and communication technology management, with a focus on how each area applies control to monitor performance, detect deviations, and take corrective action.

Part 1: Human Resource Management – Controlling People Processes

Human resource management (HRM) is the functional area responsible for attracting, developing, motivating, and retaining employees. Its scope includes recruitment, selection, training, compensation, performance evaluation, employee relations, and compliance with labor laws. In relation to controlling, HRM focuses on ensuring that the organization has the right people, with the right skills, in the right positions, performing at the right level.

Scope of Human Resource Management

Function	Description
Recruitment and selection	Attracting and choosing qualified candidates
Training and development	Building employee skills for current and future roles
Compensation and benefits	Paying employees fairly and competitively
Performance management	Evaluating and improving employee performance
Employee relations	Maintaining positive relationships and resolving conflicts
Compliance	Following labor laws and regulations

Controlling in Human Resource Management

HRM uses various control mechanisms to ensure that human resources are managed effectively.

Control Area	What Is Controlled	Control Method	Corrective Action
Staffing levels	Number of employees versus budgeted headcount	Monthly headcount report	Freeze hiring, offer early retirement, recruit faster
Turnover rate	Percentage of employees leaving voluntarily	Quarterly turnover analysis	Exit interviews, retention bonuses, improve working conditions
Training effectiveness	Whether training improves performance	Pre- and post-training tests, performance reviews	Modify training content, change delivery method

Control Area	What Is Controlled	Control Method	Corrective Action
Pay equity	Whether pay is fair and competitive	Salary surveys, pay equity audits	Adjust salaries, correct disparities
Absenteeism	Days missed due to unscheduled absence	Monthly absenteeism reports	Return-to-work interviews, wellness programs, disciplinary action
Compliance	Adherence to labor laws	Internal audits, legal reviews	Policy changes, manager training, corrective action plans

Significance of HR Control

Effective HR control ensures that the organization has a competent, motivated, and stable workforce. Without HR control, the organization may face high turnover, skill shortages, low morale, discrimination lawsuits, or labor union grievances. Each of these problems reduces organizational performance and increases costs.

Part 2: Marketing Management – Controlling Customer and Sales Processes

Marketing management is the functional area responsible for identifying customer needs, developing products or services to meet those needs, setting prices, distributing products, and promoting them to target customers. Its scope includes market research, product development, pricing, advertising, sales, distribution, and customer service. In relation to controlling, marketing management focuses on ensuring that sales targets are met, marketing budgets are followed, customer satisfaction is high, and brand reputation is protected.

Scope of Marketing Management

Function	Description
Market research	Studying customers, competitors, and market conditions
Product management	Developing and managing products throughout their life cycle
Pricing	Setting prices that attract customers and generate profit
Promotion	Advertising, public relations, sales promotions, digital marketing
Distribution	Getting products to customers through channels and logistics
Sales management	Managing the sales force and achieving revenue targets
Customer service	Ensuring customer satisfaction and loyalty

Controlling in Marketing Management

Marketing management uses various control mechanisms to ensure that marketing activities achieve their goals.

Control Area	What Is Controlled	Control Method	Corrective Action
Sales performance	Actual sales versus sales targets	Monthly sales reports, variance analysis	Increase advertising, adjust pricing, retrain sales staff, offer discounts
Marketing budget	Marketing spending versus budget	Budget variance reports	Cut unnecessary expenses, reallocate funds to effective campaigns

Control Area	What Is Controlled	Control Method	Corrective Action
Market share	Company sales as percentage of industry sales	Quarterly market share reports	Competitive analysis, product improvements, pricing changes
Customer satisfaction	How satisfied customers are with products or service	Customer surveys, Net Promoter Score	Product improvements, service recovery, complaint resolution
Advertising effectiveness	Whether ads generate desired responses	Click-through rates, conversion rates, brand awareness surveys	Change ad content, adjust media placement, reallocate budget
Distribution performance	Product availability, delivery times	Out-of-stock reports, delivery tracking	Adjust inventory levels, change logistics partners
Customer acquisition cost	Cost to acquire a new customer	CAC calculation	Improve marketing efficiency, target higher-value channels

Significance of Marketing Control

Effective marketing control ensures that the organization attracts and retains customers profitably. Without marketing control, the organization may waste money on ineffective advertising, miss sales targets, lose market share to competitors, or damage its brand reputation. Each of these problems directly affects revenue and profitability.

Part 3: Operations Management – Controlling Production and Delivery Processes

Operations management is the functional area responsible for transforming inputs (raw materials, labor, energy) into outputs (products or services) efficiently and effectively. Its scope includes process design, capacity planning, inventory management, quality control, supply chain management, and logistics. In relation to controlling, operations management focuses on ensuring that products are produced on time, within budget, and to quality standards.

Scope of Operations Management

Function	Description
Process design	Designing how work will be done
Capacity planning	Determining how much the organization can produce
Inventory management	Controlling raw materials, work-in-progress, and finished goods
Quality control	Ensuring products meet specifications
Supply chain management	Managing relationships with suppliers and distributors
Logistics	Moving materials and products through the supply chain

Controlling in Operations Management

Operations management uses various control mechanisms to ensure that production and delivery processes are efficient and effective.

Control Area	What Is Controlled	Control Method	Corrective Action
Production volume	Actual output versus planned output	Daily production reports	Overtime, add shifts, improve processes
Production cost	Actual cost versus standard cost	Cost variance reports	Reduce waste, negotiate better material prices, improve efficiency
Quality	Defect rates, customer returns	Statistical process control, quality audits	Adjust equipment, retrain workers, change suppliers
Inventory levels	Raw materials, work-in-progress, finished goods	Inventory turnover reports, cycle counts	Order materials sooner, reduce safety stock, liquidate slow-moving items
Equipment uptime	Percentage of time equipment is operating	Equipment efficiency reports	Preventive maintenance, repair or replace equipment
On-time delivery	Percentage of orders delivered when promised	Delivery performance reports	Improve scheduling, increase capacity, adjust lead times
Supplier performance	Quality and timeliness of supplier deliveries	Supplier scorecards	Change suppliers, renegotiate contracts, provide feedback

Significance of Operations Control

Effective operations control ensures that the organization produces goods or services efficiently, at acceptable quality levels, and on time. Without operations control, the organization may face high production costs, poor quality, late deliveries, inventory shortages or surpluses, and unhappy customers. Each of these problems damages competitiveness and profitability.

Part 4: Financial Management – Controlling Money and Assets

Financial management is the functional area responsible for acquiring, managing, and deploying financial resources to achieve organizational goals. Its scope includes financial planning, raising capital, managing working capital, making investment decisions, and reporting financial results. In relation to controlling, financial management focuses on ensuring that the organization has enough cash to operate, that money is spent according to plan, that assets are protected, and that financial results are accurately reported.

Scope of Financial Management

Function	Description
Financial planning	Forecasting future financial needs
Capital budgeting	Deciding which long-term investments to make
Working capital management	Managing cash, inventory, and accounts receivable
Financial reporting	Preparing income statements, balance sheets, cash flow statements
Risk management	Protecting against financial losses (insurance, hedging)
Internal controls	Preventing fraud and protecting assets

Controlling in Financial Management

Financial management uses various control mechanisms to ensure that financial resources are used effectively and that financial information is accurate.

Control Area	What Is Controlled	Control Method	Corrective Action
Budget compliance	Actual spending versus budget	Monthly budget variance reports	Cut spending, request additional budget, reallocate funds
Cash flow	Cash inflows versus outflows	Weekly cash flow statements	Accelerate collections, delay payments, arrange credit
Profitability	Profit margins, return on investment	Monthly income statement analysis	Reduce costs, increase prices, discontinue unprofitable products
Asset protection	Prevention of theft, fraud, loss	Internal audits, physical security, segregation of duties	Strengthen controls, discipline violators, improve procedures
Debt levels	Total debt versus equity	Debt-to-equity ratio	Reduce borrowing, repay debt, raise equity
Financial ratios	Liquidity, solvency, efficiency	Monthly ratio analysis	Improve collections, reduce inventory, renegotiate debt terms
Fraud detection	Unauthorized transactions or misappropriation	Surprise audits, transaction monitoring	Investigation, prosecution, policy changes

Significance of Financial Control

Effective financial control ensures that the organization remains solvent, profitable, and compliant with financial regulations. Without financial control, the organization may run out of cash, accumulate unmanageable debt, suffer from fraud or theft, or produce inaccurate financial reports. Each of these problems can lead to bankruptcy, legal penalties, or loss of investor confidence.

Part 5: Information and Communication Technology Management – Controlling Data and Systems

Information and communication technology (ICT) management is the functional area responsible for acquiring, maintaining, and securing the technology systems that support the organization. Its scope includes hardware, software, networks, databases, cybersecurity, and user support. In relation to controlling, ICT management focuses on ensuring that technology systems are available when needed, that data is accurate and secure, that projects are completed on time and within budget, and that technology investments deliver value.

Scope of ICT Management

Function	Description
Hardware management	Acquiring and maintaining computers, servers, devices
Software management	Acquiring, developing, and maintaining applications
Network management	Ensuring reliable connectivity and communication
Data management	Storing, organizing, and protecting data
Cybersecurity	Protecting systems from unauthorized access and attacks
User support	Helping employees use technology effectively

Function	Description
Project management	Delivering technology projects on time and within budget

Controlling in ICT Management

ICT management uses various control mechanisms to ensure that technology systems are reliable, secure, and cost-effective.

Control Area	What Is Controlled	Control Method	Corrective Action
System uptime	Percentage of time systems are operational	Uptime reports, incident logs	Increase redundancy, improve maintenance, upgrade hardware
Cybersecurity incidents	Number and severity of security breaches	Security audits, intrusion detection logs	Patch vulnerabilities, improve access controls, train users
Data accuracy	Whether data is correct and complete	Data quality audits, validation checks	Correct errors, improve data entry procedures
IT project performance	Actual progress versus plan	Project milestone tracking, budget variance reports	Adjust scope, add resources, change timeline
User satisfaction	Whether users are satisfied with IT services	User surveys, help desk ticket analysis	Improve training, upgrade systems, add support staff
IT spending	Actual IT costs versus budget	Budget variance reports	Cut unnecessary software licenses, renegotiate vendor contracts

Control Area	What Is Controlled	Control Method	Corrective Action
Compliance	Adherence to data privacy laws (e.g., Data Privacy Act)	Compliance audits	Policy changes, staff training, technical controls

Significance of ICT Control

Effective ICT control ensures that the organization can rely on its technology systems and protect its data. Without ICT control, the organization may experience system outages that stop production, data breaches that expose customer information, inaccurate data that leads to bad decisions, or technology projects that exceed budgets and deadlines. Each of these problems disrupts operations, damages reputation, and may result in legal liability.

Part 6: Integrating Functional Controls – How the Areas Work Together

The functional areas do not control in isolation. Their control activities are interconnected. A problem in one area affects other areas. Conversely, control improvements in one area can benefit others.

Interconnections Among Functional Controls

Functional Area	Connected To	How They Interact
HRM	All areas	HR controls the quality of people in every function. A poor hire in finance affects financial control. A poor hire in marketing affects marketing control.
Marketing	Operations,	Marketing forecasts drive operations planning. Marketing

Functional Area	Connected To	How They Interact
Operations	Finance	sales affect financial cash flow. Marketing returns (defective products) create operations rework.
	Marketing, Finance, HRM, ICT	Operations quality affects marketing returns. Operations efficiency affects financial costs. Operations staffing affects HRM. Operations systems affect ICT.
	Finance	Finance controls budgets for every function. Every functional area reports financial results to finance. Finance provides capital for all investments.
ICT	All areas	ICT supports every function's systems. HR uses ICT for payroll. Marketing uses ICT for customer data. Operations uses ICT for production control. Finance uses ICT for accounting.

Example: How a Marketing Control Problem Affects Other Areas

A marketing manager discovers that sales are below target (marketing control problem). The corrective action is to increase advertising spending. This affects:

Finance: The advertising budget must be increased. Finance must find funds from another area or approve an overspend.

Operations: Higher sales from advertising will increase production demand. Operations must increase capacity or face stock-outs.

HRM: If production increases, HR may need to hire temporary workers or schedule overtime.

ICT: The advertising campaign may require new software or data analysis tools. ICT must support these systems.

Example: How a Financial Control Problem Affects Other Areas

A financial manager discovers that the company is spending above budget (financial control problem). The corrective action is to cut costs across all departments. This affects:

Marketing: Reduced marketing budget means fewer ads, possibly lower sales.

Operations: Reduced operations budget may mean lower quality materials or slower production.

HRM: Reduced HR budget may mean hiring freezes or reduced training.

ICT: Reduced ICT budget may mean delayed software upgrades or reduced cybersecurity.

Key Terms

Term	Definition
Human resource management	Functional area responsible for attracting, developing, and retaining employees
Marketing management	Functional area responsible for identifying customer needs and selling products
Operations management	Functional area responsible for producing and delivering products
Financial management	Functional area responsible for acquiring and managing financial resources
ICT management	Functional area responsible for technology systems and data
Turnover rate	Percentage of employees leaving the organization voluntarily
Market share	Company sales as a percentage of total industry sales
Defect rate	Percentage of products that fail quality standards
Budget variance	Difference between budgeted and actual spending
System uptime	Percentage of time technology systems are operational

Review Questions

1. Identify the five functional areas of management covered in this lesson. For each area, state its primary responsibility in one sentence.
2. Choose two functional areas (e.g., HRM and Marketing). For each area, describe one control method used and one corrective action taken when performance deviates from standards.
3. What is the significance of HR control? What problems occur if HR control is ineffective?
4. What is the significance of marketing control? What problems occur if marketing control is ineffective?
5. What is the significance of operations control? What problems occur if operations control is ineffective?
6. What is the significance of financial control? What problems occur if financial control is ineffective?
7. What is the significance of ICT control? What problems occur if ICT control is ineffective?
8. Explain how the functional areas are interconnected using the following scenario: A marketing manager launches a successful advertising campaign that doubles sales. Describe how this success affects operations, finance, HRM, and ICT.
9. Explain how the functional areas are interconnected using the following scenario: A financial manager discovers the company is overspending and orders a 10% budget cut across all departments. Describe how this cut affects marketing, operations, HRM, and ICT.
10. Application question: A manufacturing company is experiencing high defect rates in its products (operations control problem). The operations manager suspects the problem is caused by poorly trained workers. Which other functional area should the operations manager work with to solve this problem? What specific actions should the two areas take together? What control methods would they use to verify that the problem is solved?